

JUDGMENT SHEET
IN THE LAHORE HIGH COURT,
MULTAN BENCH, MULTAN
JUDICIAL DEPARTMENT

Writ Petition No.6976 of 2005
National Bank of Pakistan

Versus
Executive District Officer (Revenue), Multan & another

J U D G M E N T

Date of Hearing.	19.03.2015
PETITIONER BY:	Ch. Altaf Hussain, Advocate.
RESPONDENTS BY:	Rana Muhammad Hussain A.A.G along with Muhammad Yousaf Virk, Excise & Taxation Officer, Multan.

Shahid Karim, J:- This single judgment shall decide the instant Constitutional petition (W.P No.6976 of 2005) as well as connected petitions bearing W.P No.6977/05 & 6978/05 as all these petitions involve identical questions of law.

2. These petitions under Article 199 of the Constitution of Islamic Republic of Pakistan, 1973 raise vexed questions of law and fact.

The Issue

3. Precisely, the question which falls to be noted and which requires determination is whether the petitioner/Bank viz. National Bank of Pakistan (**NBP**) is liable to payment of property tax (a tax levied by the Act of Provincial Assembly) under the Punjab Urban Immovable Property Tax Act, 1958 (**Act, 1958**).

The Relevant Facts:

4. The relevant facts are uncomplicated and easily resolved. These petitions challenge the notices for the

payment of property tax, dated 19.11.2004 (in W.P No.6976/2005) issued by the Excise & Taxation Officer/Assessing Authority, Excise & Taxation Department, Multan. By its order dated 4.3.2005 (15.8.2003 in W.P No.6977/2005 and 4.3.2005 in W.P No.6978/2005) the Excise & Taxation Officer, Multan held the petitioner to be liable for the payment of property tax and did not agree that the petitioner fell within the ambit of section 4(a) of the Act, 1958. A revision petition was filed against the said order under section 10(2) of the Act which too was dismissed on 21.7.2005 by the respondent No.1, Executive District Officer (Revenue), Multan (7.6.2004 in W.P No.6977/2005 and 31.5.2005 in W.P No.6978/2005) . These petitions challenge both the orders referred to above.

Counsels' submissions:

5. The learned counsel for the petitioner/NBP submits that NBP is an instrumentality of the Federal Government and is covered by the exemption from payment of all taxes levied by an Act of Provincial Assembly by virtue of Article 165 of the Constitution of Islamic Republic of Pakistan, 1973 (**Constitution**) as also section 4(a) of the Act, 1958. According to him, therefore, the act of levy of the property tax on the property of NBP is *ultra vires* and impinges upon the rights which flow from Article 165 of the Constitution.

6. Learned A.A.G submits that NBP is a separate juristic entity and the benefit conferred by Article 165 of the Constitution cannot be extended to the properties of NBP as it is a Corporation independent of the Federal Government.

The Discussion:

7. The question which boils down for determination in these petitions is, therefore, whether the properties of NBP are, infact, the properties of Federal Government and, therefore, exempt from taxes imposed by the Act of Provincial Assembly (in this case the Punjab Assembly) on the basis of Article 165 of the Constitution and section 4(a) of the Act, 1958. Before we proceed further, for facility of reference, Article 165 of the Constitution and section 4(a) of the Act, 1958 are reproduced as under:

Article 165 of the Constitution:

“165. Exemption of certain public property from taxation.

(1) The Federal Government shall not, in respect of its property or income, be liable to taxation under any Act of Provincial Assembly and, subject to clause (2), a Provincial Government shall not, in respect of its property or income, be liable to taxation under Act of Majlis-e-Shoora (Parliament)] or under Act of the Provincial Assembly of any other Province.

(2) If a trade or business of any kind is carried on by or on behalf of the Government of a Province outside that Province, that Government may, in respect of any property used in connection with that trade or business or any income arising from that trade or business, be taxed under Act of [Majlis-e-Shoora (Parliament)] or under Act of the Provincial Assembly of the Province in which that trade or business is carried on.

(3) Nothing in this Article shall prevent the imposition of fees for services rendered.

S.4(a) of the Act, 1958

(a) building and lands other than those leased in perpetuity, vesting in the Federal Government.

8. It is clear from a reading of Article 165 of the Constitution that the properties and incomes of the Federal Government are not liable to taxation under any Act of the Provincial Assembly. Section 4(a) of the Act, 1958 is merely a reiteration of the principle which has been given by Article 165. The controversy has arisen owing to the fact that NBP is a Banking Company regulated by State Bank of Pakistan under the Banking Companies Ordinance, 1962 (**Ordinance 1962**) and thus it is not clearly spelt out that NBP is infact Federal Government or not.

9. The true import of Article 165 of the Constitution and its applicability to corporations owned by the Federal Government has been the subject of scrutiny by the superior courts. There is a healthy body of case law which has already dilated upon the said controversy and authoritative findings have been handed down in those judgments. However, firstly I shall proceed to deal with the case-law cited by the learned counsels for the parties.

10. In Chairman, District Council, Rahim Yar Khan and another v. United Bank Limited, Rahim Yar Khan (**1989 CLC 1397**) the imposition of professional tax under the Punjab Local Government Ordinance, 1979

was challenged by United Bank Limited, a nationalized Bank at that point of time. Taking into consideration the effect of Article 165 of the Constitution and the Banks (Nationalisation) Ordinance XIX of 1974 (**Ordinance, 1974**). It was held as under:

“It deals with the ownership, management and control of all banks, which have been transferred to, and vest in, the Federal Government from 1.1.1974. Since the ownership, management and control of banks vests in the Federal Government and the professional tax has been levied by the Act of the Provincial Assembly under the Punjab Local Government Ordinance, 1979, so the exemption clause embodied under Article 165 of the Constitution positively applies to the case of the respondent.

5. With reference to section 16 of the Banks (Nationalization) Act, 1974, it has been contended that all assets, rights, powers, authorities and privileges and all other rights and interests arising out of such property as were immediately before the commencing day in the ownership, possession, power or control of a bank, whether within or outside Pakistan, shall, unless otherwise provided, continue to vest in that bank, and in this manner the vesting such properties in the bank, make the bank liable to the payment of professional tax. This provision of law does not help the petitioner because as stated supra, the management and control of the banks vest in the Federal Government since 1.1.1974 and the property of the Federal Government is immune from taxation under Article 165 of the Constitution when the tax is imposed by the Provincial Government.”

11. In Association Cement (State Cement Corporation of Pakistan (Pvt.) Limited) v. Government of Sindh, through the Secretary, Local Government and 2 others (1992 MLD 1730). State Cement Corporation of Pakistan was a private limited company wholly owned and controlled by Government of Pakistan and its Chairman and Directors were appointed by Government of Pakistan too. In this background, it was observed by the Karachi High Court as under:

“...By Associated Cement (Vesting) Ordinance, 1974 dated 24.10.1974 the undertaking known as Associated Cement were vested in the State Cement Corporation of Pakistan Limited which was managed the same. State Cement Corporation of Pakistan (Private) is a private limited company wholly owned and controlled by the Government of Pakistan and its Chairman and Directors are appointed by the Government of Pakistan.

It is the case of the petitioner that Associated Cement is an industry owned and possessed by the government since 1965 and is an undertaking and functionary of the Federal Government. It is situated within the limits of Union Council Ali Wahan, District Sukkur. Petitioner imports raw materials, machinery, spare parts and tools as well as eatable and other goods for consumption/use by the factory and its employees.”

In a matter of this description, it is well established that the Courts are entitled to pierce the veil of corporate entity and look at the reality of the transactions. It is true that from the juristic point of view the company is a legal personality entirely distinct from its members and the company is capable of enjoying rights and being subjected to duties which are enjoying rights as those enjoyed or borne by the members. But in certain exceptional cases, the Court is entitled to life and veil of corporate entity and to pay regard to the economic realities behind the legal façade. We have already reproduced hereinabove the relevant part of the Associated Cement (Vesting) Order, 1970, Associated Cement (Vesting) Ordinance, 1974 and the Memorandum and Articles of Association of State Cement Corporation of Pakistan (Private) Limited. It is clear to us that Associated Cement vests in the Federal Government and the petitioner Corporation is essentially performing functions covered by the wide field of activity permissible to the Federal Government under the Constitution of Pakistan. The petitioner Corporation is clearly entitled to the exemption germane to the property of the Federal Government as provided by Article 165 of the Constitution and all property/goods imported by the petitioner for its consumption/use is exempt from payment of octroi tax.”

12. Again in Sind Industrial Trading Estate Ltd.

Karachi v. Central Board of Revenue and 3 others

(PLD 1975 Karachi 128), the issue concerned the Sind Industrial Trading Estate Limited, a Company limited by guarantee of the provincial Government which was formed and incorporated under the Sindh

Government Resolution, the whole of the working capital of the company came from the Government grants and the Managing Director as well as majority of the Directors of the Company were nominees of the provincial Government, it was held as follows:

“(b) *Government of India Act, 1935—*

--- ----S. 155, *Constitution of Pakistan (1956)*, Art. 112, *Constitution of Pakistan (1962)*, Art. 137 (1) and *Constitution of Pakistan (1973)* Art. 165—*Taxation of business carried on by Government—Sind Industrial Trading Estate Ltd. —A department of Provincial Government of Sind—Though clothed with juristic personality, Company nevertheless performs essential Provincial functions of development of trade and industries—income of such corporate body amounts to income of Provincial Government, hence, not liable to taxation under Income-Tax Act, 1922—Income-tax Act (XI of 1922), Ss. 46(5 & 4 (3) (iii).*”

13. The last judgment in the series to which a reference can be made is *Messrs Rice Export Corporation of Pakistan Ltd. V. Karachi Metropolitan Corporation through Director Octroi and another* (**PLD 1990 Karachi 186**). In this case, too, the levy of octroi on Rice Export Corporation of Pakistan Ltd., a body corporate, exclusively owned and managed by the Federal Government was challenged. The Karachi High Court held as under:

“...Adopting this course, on examination of the record as a whole, which includes Memorandum and Articles of Association of a company, limited by guarantee of Federal functionaries, memoranda, certificates; correspondence etc. very much in the same way and fashion as S.I.T.E in the case of that title, it is clear to us that what, in appearance, belongs to the petitioner Corporation, in the way of assets and property, really vests in the Federal Government and that the petitioner Corporation, not unlike many others of this genus, is essentially performing functions covered by the wide field of activity permissible to the Federal Government under the Constitution of Pakistan. A modern State is no longer restricted to the conventional functions

of the State and by sheer force of circumstances and concomitant responsibilities, is called upon to undertake a vast spectrum of activities, in consonance with the march of times. In our view, therefore, what may pass or figure as assets or property of the petitioner Corporation are in substance those of the Federation of Pakistan. The above-referred case of the Rice Corporation of Pakistan as to Workers' Participation Fund is distinguishable as a limited question was involved therein and the Court was not called upon to pierce through the veil of incorporation, in the context of its property.

5. If the property of the Rice Corporation of Pakistan can thus be termed the property of the Federal Government that Corporation is clearly entitled to the exemption germane to the property of the Federal Government, as spoken of in Article 165 of the Constitution and is not liable to taxation, as regards such property, under an Act of a Provincial legislature. Sindh Local Government Ordinance, 1979, whereunder the Municipal Committees Octroi Rules, 1964 appear to have been continued, cannot be utilized so as to impose the burden of a tax on the property of the Federal Government. Respondents' claims of Octroi against the petitioner Corporation cannot thus be sustained."

14. It can be seen that the Karachi High Court concluded that the assets and property of the corporation owned by the Federal Government were in substance those of the Federation of Pakistan. Thus, the benefit of exemption under Art. 165 of the Constitution was made applicable to the corporation as well.

15. As stated above, there is a rich jurisprudence which has been developed by the Supreme Court of Pakistan regarding the relation of Article 165 of the Constitution with Government instrumentalities and corporations. Any discussion should start with the case of Central Board of Revenue and another v. S.I.T.E (PLD 1985 SC 97). S.I.T.E filed a Constitutional petition claiming exemption from payment of income tax by virtue of Article 165 of the Constitution which was

allowed by the Division Bench of High Court of Sindh. The Supreme Court of Pakistan affirmed the judgment of the High Court highlighting the peculiar features of S.I.T.E and held that the said features clearly and rightly led to the finding that S.I.T.E was an extension of the Provincial Government and its income was also that of the Government. It is not necessary to dilate upon this case in detail as the subsequent cases of the Supreme Court of Pakistan have entirely changed the landscape with regard to this jurisprudence.

16. Union Council Ali Wahan, Sukkur v. Associated Cement (Pvt.) Limited. (1993 SCMR 468) was a paradigm case and caused a drift and deviation in the jurisprudence hitherto obtaining with regard to the interpretation of Article 165 and its interplay with Government owned instrumentalities. Associated Cement was a company incorporated under the law having an independent and legal juristic personality distinct from the Government which owned its shares. The Company was paying income tax and other taxes on its products and was also subject to labour laws like any other company which owns, manages or runs a factory. The question for consideration before the Supreme Court of Pakistan was whether if the veil of the incorporation was not lifted with regard to the Company, Article 165 of the Constitution could be made attracted to it. The further question and of more significance was whether the High Court in that case

was justified to lift the veil of incorporation of the Company in order to make Article 165 applicable to the respondent Company. The answer to both these questions was returned in the negative. This case requires an elaborate consideration and its portions will have to be reproduced extensively in order to gauge the *ratio decidendi* of the case. It was held by the Supreme Court as under:

“4. The short controversy in the present case is, as to whether the High Court was justified in pressing into service Article 165 of the Constitution by lifting the veil of incorporation of the respondent...”

“13. We may also observe that this Court declined to invoke in aid the doctrine of lifting of incorporate veil in cases of employees of corporation though it was demonstrated that the corporation was in fact for all intents and purposes a Government department. In this regard, it will suffice to refer to the case of Lt.-Col. Shujauddin Ahmad v. Oil and Gas Development Corporation (1971 SCMR 566), wherein Hamoodur Rahman, C.J. declined to lift the veil of incorporateness and observed as follows: --

“The petitioner now seeks special leave to appeal and it is contended on his behalf that the learned Judge in the High Court was wrong in taking the view that the ratio of the decisions of the Supreme Court cited above was applicable in this case. According to him, the respondent-Corporation was in all respects a Government Department, for, the Government contributed the entire capital of the Corporation, appointed all its Directors and could remove them as its discretion. The Board of Directors of the Corporation also functioned subject to the instructions of the Central Government. It had no power even to borrow or to raise funds without the consent in writing of the Central Government.

In these circumstances, it is urged that the respondent-Corporation being under the executive control of the Government was performing functions of the Government and, therefore, every one, who was employed by the Corporation, was under, Article 176 of Constitution, a person holding a civil post in connection with the affairs of Centre, to whom the guarantees given by Article 177 applied. Service in the Corporation was also, it is contended, service of Pakistan within the

meaning of Article 242 of the Constitution of 1962.

We are unable to agree with this contention. The provisions of the statutes, under which the respondent-Corporation, the East Pakistan Industrial Development Corporation and other statutory bodies had been created in Pakistan, are not radically different. There too, the Government holds the bulk of the shares, appoints a Managing Director and Chairman of the Board, audits the accounts of the statutory Corporations through its own appointed Auditors and had the power to direct those Corporations to carry out its instructions.”

14. *The above view has been consistently maintained by this Court with the modification that relief is granted to an employee of a Corporation if he can demonstrate that there has been violation of a provision of law or any of the statutory rules. In this behalf reference may be made to the case of Raziuddin v. Chairman Pakistan International Airlines Corporation and 2 others (PLD 1992 SC 531), in which most of the cases on the above subject have been referred to.*

....

16. *In the present case, the respondent cannot be said to have been performing Constitutional functions of the State. It is engaged in manufacture and sale of cement like the other companies which own and run cement factories. The present case is distinguishable from the S.I.T.E's case as in the latter case, providing infrastructure for industrial development was a function of the State, whereas to run a cement factory cannot be equated with the above work. Furthermore, the above judgment in the S.I.T.E's case was rendered on 5-9-1984, whereas Article 165-A was incorporated in the Constitution in 1985, which has direct bearing on Article 165 as pointed out in the above reported judgment of this Court in the case of K.D.A.*

....

19. *In our view, in the case in hand, there does not exist any justifiable reason for pressing into service the device of lifting the veil of incorporation of the respondent. On the contrary, there are more than one reason, which militates against invoking in aid the above doctrine. Suffice to refer a few of them.*

(i) *As observed hereinabove, the respondent is engaged in manufacture and sale of cement like any other private or public limited company which is engaged in manufacture and sale of cement. If we were to invoke the doctrine of lifting of veil of incorporation in the present case in order to enable the respondent to have the benefit of Article 165*

though otherwise it is not applicable to a private limited company, it will place the respondent in an advantageous position to the detriment of the companies which are also engaged in manufacture and sale of cement as they will not be entitled to the benefit of exemption of octroi. This will be violative of inter alia Article 25 of the Constitution which enjoins the person placed in the same position cannot be discriminated. In this behalf, reference may be made to the case of I.A. Sharwani and others v. Government of Pakistan through Secretary, Finance Division, Islamabad and others (1991 SCMR 1041) wherein the above question has been exhaustively dealt with.

That the octroi is levied by the appellant Union Council in order to raise funds for the development of the rural area which is under-developed and badly needs funds. Grant of exemption to the respondent by lifting the veil of incorporation will not, in any way, foster the cause of justice but in fact retard the development of the rural area.

17. In Water and Power Development Authority through General Manager and Project Director and another v. Administrator District Council Swabi and 5 others (2005 SCMR 487), WAPDA sought the refuge of Article 165 of the Constitution for the avoidance of export tax and educational tax on the production and transportation of its material for the construction of Ghazi Brotha Hydropower Project. The claim of WAPDA was turned down by the Supreme Court of Pakistan in the following words:

“11. Again this Court in case of Union Council v. Associated Cement (1993 SCMR 468 at page 480 para. 12) has categorically held that the lifting of the corporate veil as such is no longer permissible and the distinct juristic personality of the incorporated or statutory body has been recognized notwithstanding the control, the destination and the functioning of such bodies, this was with regard to previous remarks of this Court in case of Karachi Development Authority decided on 29-12-1991 but reported in (2000 Appeal Cases 53). In the circumstances, we are of the view that the appellant cannot derive benefit from either Article 165 or from Article 165-A of the Constitution.”

18. Province of N.W.F.P through Secretary Local Govt & Rural Development, Peshawar etc. v. Pakistan Telecommunication Corporation through its Chairman and others (PLD 2005 SC 670) is a case which deals with the levy of octroi tax on the PTC, a Corporation wholly owned by the Federal Government. The Supreme Court of Pakistan considered the true import of Article 165 of the Constitution and its applicability to corporations which have been incorporated under the laws relating to companies under a statute and are ostensibly independent juristic persons yet the Federal Government exercises control and supervision over the affairs of such corporations by various means delineated either in the Article of Association or in the statute which sets up those corporations. The observations of the Supreme Court are as follows:

“Now in the light of the test laid down in this Article, it has to be seen whether the goods of respondent Corporation can be treated to be the property or income of the Federal Government. It would be seen from various provisions of Ordinance, 1990 and the Act 1991 that, for all intents and purposes, PTC has been discharging its duties and functions, which were earlier performed by the erstwhile Telegraph and Telephone department of the Federal Government. For this purpose, we may pierce the veil of incorporation and notice that entire control, administration, management and all the affairs of the Corporation, no doubt, vests in the Board of Directors but all such Directors and the Managing Directors were required to be appointed by the Federal Government and none else. The properties of T & T Department, on establishment of the respondent-Corporation, vested in it and, legally speaking, all assets and liabilities of the said department were acquired and incurred by the respondent Corporation by operation of law. All officers working in Telegraph and Telephone Department stood transferred to the Corporation with total protection of terms and conditions of their service, including the right to enjoy the status of a public servant. Furthermore, the Corporation was

bound in all matters to abide by the instructions and directives issued by the Federal Government from time to time and to follow the policy decisions of the Government, who was declared to be the best judge to decide as to which question would be a question of policy. Indeed, entire income from the proceeds of the Corporation went to the public exchequer and not to an individual or a juristic person.”

19. In the said judgment the tool of veil of incorporation was utilized in order to determine the relationship of the share holders with regard to their true ownership and the true nature of the company itself. Apart from this, a distinction was made between companies whose Boards of Directors are elected by its share holders and companies whose Boards of Directors are appointed by the Government. It was also held that the company should be the sole ownership of the Federal Government in order to avail the benefit conferred by Article 165 of the Constitution.

20. In Collector of Sales Tax and Central Excise, Lahore v. Water and Power Development Authority and others (**2007 SCMR 1736**), once again WAPDA as statutory corporation, constituted under WAPDA Act, 1958 invoked Article 165 of the Constitution for exemption from the payment of sales tax on a Printing Press, being run by WAPDA at Kashmir Road, Lahore which was engaged in making/ printing computer stationery for use in WAPDA offices. The Supreme Court turned down the claim in the following observations:

“...The exemption as available under Article 165 of the Constitution is no more available to a statutory corporation from the payment of taxes in view of

incorporation of Article 165-A of the Constitution and this legal proposition is also true and applicable in the case of Authority (WAPDA)..."

21. The last judgment in line is Central Board of Revenue, Islamabad and another v. WAPDA and another (PLD 2014 SC 766) in which WAPDA claimed exemption from the payment of excise duty on loans on the strength of Article 165 of the Constitution as being the property of the Federal Government. The said claim was repelled by the Supreme Court of Pakistan by observing that:

"15. The learned High Court has also failed to notice that after the incorporation of Article 165-A, in a number of cases including the case of Union Council, Ali Wahan, Sukkur v. Associated Cement (Pvt.) Limited reported in 1993 SCMR 468, this Court has categorically held that unveiling of corporate veil is no longer admissible. This was also held in the case of KDA reported in 2005 PTD 2131."

22. From a resume of the case law referred to above it can be culled out as under:

- I. The benefit under Article 165 of the Constitution, is not limited to property owned directly by the Federal Government merely but also extends to properties owned by the Federal Government through its instrumentalities and body corporates.*
- II. The courts have, in case of doubt, pierced the veil of incorporation to ascertain the real ownership and control of a corporation for the purpose of Article 165 of the Constitution. However, there must exist justifiable reasons for making use of this doctrine.*
- III. A corporation whose entire shareholding is owned by Federal Government is included within the sweep of Article 165 of the Constitution. This,*

too, must cross the threshold set by Associated Cement case.

IV. Contrarily, a corporation which is not wholly owned by the Federal Government and part of the shareholding vests in other entities and persons as well, will not be extended the benefit.

V. A corporation or instrumentality of the Federal Government having a monopoly in the area of its operation, will be deemed a department of the Government and hence entitled to the exemption under Article 165 of the Constitution.

VI. A Government Corporation conducting commercial activities in the normal course of business and competing with similar entities cannot be treated preferentially by extending them the benefit.

23. It may be noticed from a reading of the rulings of the Supreme Court which have been cited above that Associated Cement case is a common strand which runs through every judgment which has been rendered by the Supreme Court of Pakistan following the Associated Cement judgment. That case has set the tone for future jurisprudence, too. The Associated Cement case, therefore, is the law as regards the applicability of the exemption under Article 165 of the Constitution to instrumentalities and corporations claiming to be owned by the Federal Government. It will, therefore, be necessary to deal with the Associated Cement case in some detail and to glean out the principles which have been settled in that judgment.

24. As brought forth above, Associated Cement was a company incorporated under the Companies Act, 1913 and was an independent juristic person. It was not in dispute that the shareholding of the Associated Cement was entirely vested in the Federal Government. However, this did not convince the Supreme Court of Pakistan in extending the benefit of Article 165 to Associated Cement. The question before the Supreme Court of Pakistan was that Article 165 was not attracted to the case of Associated Cement simply by the mere fact and for extending the benefit of Article 165 it was essential that the veil of incorporation be pierced. This is what the learned counsel for Associated Cement in that case invited the Supreme Court to do. Therefore, the primary and substantial question before the Supreme Court was whether the courts in such cases were justified to lift the veil of incorporation in order to make Article 165 applicable to such companies. The question whether Article 165 was thus attracted then became a secondary and ancillary question. For without lifting the veil of incorporation, the benefit could not be so extended. The Supreme Court of Pakistan elaborately and with erudition analysed the settled principles regarding lifting of veil of incorporation and referred to various treaties on the subject. It was concluded that the device of lifting of veil of incorporation in the hands of the courts was well established yet the same could not be pressed into service as a matter of course in every case and there

should be justifiable reasons to warrant the lifting of veil of incorporation. It was observed by the Supreme Court that courts have not pierced the veil of incorporation in order to allow exemption from payment of tax or to reduce tax burden. It was further held that the companies and corporate entities, though owned by the Federal Government, which were run as ordinary commercial entities, could not be equated with instrumentalities which carried on the sovereign functions of the State as that would place those companies in an advantageous position to the detriment of similar companies which were not so entitled to the benefit of such tax exemptions which accrued on the basis of Article 165 of the Constitution. The Supreme Court of Pakistan while relying upon Article 25 of the Constitution held this to work discriminately against other companies. We may also reproduce the observations of Mr. Justice Saleem Akhtar J. who wrote a separate opinion and which is also relevant in the determination of the controversy. It was held by the Hon'ble Judge as under:

“...In the present case, the Cement Corporation is not the sole manufacturer of cement in Pakistan. There are several other corporations which are engaged in this business activity. Where a Government owns, controls and manages a corporation which is engaged in a commercial activity competing with other public/private companies engaged in similar business, the Corporation can hardly claim any privilege or immunity to the disadvantage of its competitors. Subject to these observations in my view the appeal may be allowed with no order as to costs.”

25. PTC case referred to above would also require some discussion as it further elaborates upon the principles settled in Associated Cement case and in fact brings forth a clear distinction between the same company in two different forms. In this judgment, two appeals were decided by the Supreme Court of Pakistan. In Appeal No.1184 of 1999, the claim of exemption under Article 165 was made by PTC as set up by Pakistan Telecommunication Act, 1991. It was held that given the nature and composition of the Corporation (PTC), PTC essentially and primarily performed the functions of telegraph and telephone department of the Federal Government and would thus be entitled to exemption from payment of octroi tax which was also available to telegraph and telephone department before coming into existence of the Corporation. It will be seen that the benefit was extended solely on the ground that PTC was essentially a department of the Government and held a monopoly over such matters.

26. Civil Appeal No.1493 of 2004 decided in the same judgment, however, related to the transition of PTC into PTCL as a company under the Companies Ordinance, 1984 though set up by virtue of the Pakistan Telecommunication (Reorganization) Act, 1996. The same concession was asked for by PTCL after its incorporation as a company which was declined by the Supreme Court of Pakistan. The reasons which swayed the Supreme Court of Pakistan were that PTCL was no

longer the only service provider in the field of telecommunication and essentially being a company involved in trade, business and commerce cannot be equated with Government department by any stretch of reasoning and logic. It was held, therefore, that PTCL was not exempted from the payment of property tax on its urban properties since neither the provisions of Article 165 nor the provisions of section 4(a) of the Act, 1958 would entitle the exemption to be extended to PTCL.

27. I shall now proceed to analyze the facts of the instant case and to apply the principles laid down in the judgments cited above to those facts.

28. The provenance of the NBP is National Bank of Pakistan Ordinance, 1949 (**Ordinance, 1949**). By virtue of Ordinance, 1949 the Bank was established and incorporated and was declared to be a body corporate having perpetual succession and a common seal. By section 4 of the Ordinance, 1949, the authorized capital of the Bank shall be determined by the Federal Government by notification in the official gazette and the Federal Government by special resolution may increase or reduce the capital of the Bank. By section 9 of Ordinance, 1949, the Federal Government shall be a shareholder of the Bank and shall purchase at par not less than twenty-five per cent of the shares issued by the Bank from time to time. The general superintendence and direction of the affairs and business of the Bank

shall be entrusted to the Central Board by virtue of section 12 of Ordinance, 1949. The Managing Director is to be appointed by the Federal Government on the terms and conditions of service as the Federal Government may determine and the Chairman of the Central Board shall also be appointed by the Federal Government from amongst the Directors under section 14(2) of Ordinance, 1949.

29. The provisions of Ordinance, 1949 remained in place till the Banks (Nationalization) Act, 1974 (Act, 1974) was promulgated. By this Act, nationalization of Banking business in Pakistan took place. The provisions of Act, 1974 were to have effect notwithstanding anything contain in any other law for the time being in force. Thus, Act, 1974 had an overriding effect upon other laws. Section 5 of the Act, 1974 for our purposes is relevant and it would be appropriate to reproduce its contents so far as they are relevant:

“5. Transfer and vesting of ownership, etc., of banks.- (1) The ownership, management and control of all banks shall stand transferred to, and vest in, the Federal Government on the commencing day.

(2) All shares in the capital of a bank held by persons other than the Federal Government, a Provincial Government, a corporation owned or controlled by the Federal Government or the State Bank shall stand transferred to, and vest in, the Federal Government on the commencing day, free of all trusts, liabilities and encumbrances.

(2A) If any bank issues any additional share capital after the commencing day, then, without prejudice to the provisions of sub-section (1), a Provincial Government, a corporation owned or controlled by the Federal Government and the

State Bank may contribute to the share capital so issued.

(3) The vesting of any shares in the Federal Government under sub-section (2) shall not affect the right inter se of a shareholder and any other person who may have an interest in such shares and such other person shall be entitled to enforce his interest against the compensation awarded to the shareholder under section 6.

(4) The safety of the deposits in banks shall stand guaranteed by the Federal Government.

(5) The provisions of this Act and the vesting of the shares of the banks in the Federal Government thereunder shall not in any way affect the status of the banks as bodies corporate under the Companies Act, 1913(VII of 1913).

(6) The Federal Government or a corporation owned or controlled by the Federal Government may, from time to time, sell all or any of its shares in the capital of a bank, other than the State Bank, to such persons, and on such terms and conditions, as it may determine.

(a) where [upto forty-nine] per cent of the shares in the capital of a bank are so sold, the application of the provisions of this Act, other than this subsection, to such bank shall stand suspended for such period, and no such terms, as the Federal Government may, by notification in the official Gazette specify; and

(b) where not less than fifty-one per cent of the shares are so sold, the provisions of this Act, shall cease to apply to such bank.”

30. It can be seen from a reading of section 5 above that with one stroke, the ownership, management and control of all banks stood transferred and vested in the Federal Government. The definition of the term ‘Bank’ as given in section 3 (1) of the Act, 1974 included the NBP, amongst others. Later, an amendment in the form of section 5-A in the Act, 1974 relating to sale of shares was brought about which empowered the Federal Government to sell all or any of its shares in the capital of a Bank and transfer management and control of a

Bank other than the State Bank of Pakistan to such persons as the Federal Government may determine. This section triggered the process of privatization of banks nationalized by the Act, 1974. However, NBP still retains the character of a nationalized Bank and no substantial change has occurred in its status as a nationalized Bank.

31. The decision rendered by the Supreme Court of Pakistan in Civil Appeal No.1493 of 2004 is closer on facts with the case in hand. In the instant case as well NBP is seeking an exemption from the payment of property tax on its properties on the touchstone of Article 165 and section 4(a) of the Act, 1958 which was specifically denied by the Supreme Court of Pakistan in the above referred judgment. The reasons and the basis in that judgment would equally apply to the present case. NBP is not the only bank providing the service of banking in Pakistan and there are a number of other banks which compete with NBP in the provision of services of banking. Thus, NBP is merely another bank operating in the vast landscape of banking business. It is involved in trading, business and commerce and cannot be considered as a Government department performing sovereign functions having a dominant monopoly or carrying on welfare related functions of the State/Federal Government. To extend the benefit of Article 165 to NBP and thus exempt it from the payment of property tax would work discriminately against

similarly placed banking companies operating in the field. It is not denied that NBP pays other federal taxes like income tax, sales tax etc. and has also been paying the property tax under challenge in the past years as well. There is no reason to claim exemption since NBP is not a department of the Government nor does it engage in welfare related functions as an extended arm of the Government. By virtue of a vast number of amendments made in the Act, 1974 in the year 1997 and subsequent years, the Chief Executive and other officers of the Bank (including NBP) shall act in accordance with the policies, criteria and guidance determined by the Board (and not Federal Government). Significantly, by section 11(11), it is enjoined that the Board, the President and other officers shall exercise their powers and discharge their duties in accordance with sound banking principles and prudent banking practices and shall ensure compliance with regulations and directions that may be issued by the State Bank from time to time. Thus, NBP is, for all intents, an ordinary banking company like any other and must not be perched on a higher pedestal than the other similarly placed banking companies.

32. It is not necessary to lift the veil of incorporation in order to see the true character of NBP or whether NBP is wholly owned by the Federal Government since such a course of action would offend the ratio of the Associated Cement case as well as subsequent cases. In

the case of NBP as well no grounds have been put forth which would justify this Court to lift the veil of incorporation. Considering the above normative criteria, it is clear that the case of NBP runs on a slender margin.

33. We must, here, bear in mind another principle vouched by respectable authority. It is that any claim for exemption from payment of tax (as is the case here) presupposes the levy of duty and in such case, the burden of proof squarely falls on the person claiming exemption. Secondly, while interpreting provisions granting exemption, courts will lean towards the revenue rather than the assessee. If an authority is to be consulted, see *Army Welfare Sugar Mills Ltd. V. Federation of Pakistan* (1992 SCMR 1652).

34. Before parting with the judgment, I owe a word of gratitude to the Research Cell of the Lahore High Court in its invaluable assistance.

For what has been adumbrated, these petitions are **dismissed**.

(SHAHID KARIM)
JUDGE

Approved for reporting.

JUDGE

Announced in open Court on 31.03.2015.

JUDGE

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Rafiqat Ali